



MARKET MONITOR

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No. 93 – November 2021

Soaring fertilizer prices, in part driven by a strong run-up in natural-gas prices, are poised to add more uncertainty to global food markets well into the 2022/23 season. With international prices of most food crops (with the exception of rice) already at multi-year highs and their exportable supplies barely adequate to meet demand, any weather or input induced shortfall in 2022 could have worrying implications for global food security. To reverse the alarming rise in hunger in a pandemic-ridden world calls for concrete actions to guarantee supplies and access to food, particularly for the most vulnerable.

Markets at a glance

	From previous forecast	From previous season
Wheat	▼	▼
Maize	▲	▲
Rice	■	▲
Soybeans	▲	▲

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations and entities that form the AMIS Secretariat.

Feature article

Fertilizer prices are soaring

Fertilizer prices have increased sharply over the past 12 months, putting further upward pressure on food prices. In October 2021, the Green Markets North America Fertilizer Price Index [soared past its 2008 peak](#). The price spike has been dramatic for all types of chemical fertilizers. Last month, prices for ammonia, urea, and DAP were up by, respectively, 200 percent, 145 percent, and 90 percent from a year ago. Likewise, the price of natural gas, which is a key input for energy-intensive fertilizer production, was up by 180 percent.

Why are prices going up?

Stronger demand and higher input costs are the main drivers of the recent spike in fertilizer prices. In anticipation of greater revenue, rising agricultural commodity prices earlier this year encouraged farmers to increase their use of fertilizer. This further tightened fertilizer markets already affected by recent supply disruptions, pushing up fertilizer prices. Rising prices in global energy markets have pushed up the cost of fertilizer production to a point where many plants decided to cut production or even shut their doors altogether. Sulfur prices have also increased sharply.

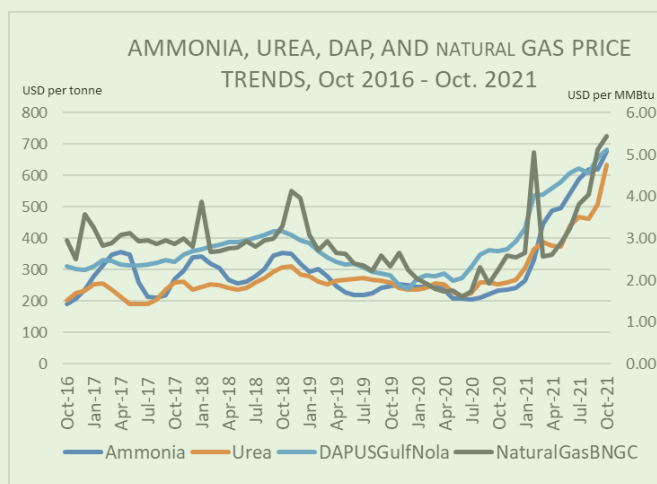
Recent weather events also played a role in driving up energy prices and contributed to fertilizer supply disruptions. Hurricane Ida shut down fertilizer plants in Louisiana (US), and an exceptionally hot summer worldwide increased demand for air conditioning and, hence, energy.

Trade-related actions have further intensified supply concerns. New hurdles in the form of additional inspection requirements for fertilizer exports were recently introduced by China - a key supplier of urea, sulphate, and phosphate. Other trade measures contributing to higher prices include the decision by the United States International Trade Commission to impose [countervailing duties](#) on imports of phosphates from Morocco and Russia as well as the [economic sanctions](#) imposed by the European Union, the US, and [other countries](#) on Belarus, which include restrictions on imports of potash from that country – a major potash producer.

Looking forward

The upward trend of fertilizer prices due to continuously rising input costs and recurrent supply disruptions is stoking concerns about global food security in the coming year. From [maize producers in Brazil](#) to [wheat farmers in France](#), there is worry that fertilizer supply will not be sufficient for the next planting season. Recent reports indicate that [Viet Nam's Plant Production Department](#) is encouraging rice farmers to cut fertilizer use by as much as half. If farmers cut back on fertilizer application because of high prices and shortages, smaller harvests may be forthcoming, which could drive up crop prices at a time when food prices have already reached levels not seen in a decade.

The outlook for fertilizer prices is hard to predict, though there are signs they could stay high at least over the next six months, as natural gas and other energy prices show little sign of easing. In Europe, wind power generation has been down because of low wind speeds, while liquefied natural gas production has fallen among major producers. Also, energy demand is expected to increase further to the extent economies continue to recover from the COVID-19 pandemic. Fertilizer prices may thus be expected to continue putting upward pressure on food prices in the near future.



World supply-demand outlook

- **Wheat** production in 2021 lowered m/m (now below last year's record) with most of the downward revision on account of a reduced output in Iran due to drought, as well as in the EU, Turkey, and the US.
- Utilization forecast for 2021/22 remains unchanged, pointing to an increase of 2.2 percent from the 2020/21 level on strong feed demand and a steady rise in food consumption.
- Trade in 2021/22 (July/June) scaled up, mainly reflecting a higher import forecast for Iran; the Russia Federation is expected to remain the largest wheat exporter in 2021/22.
- Stocks (ending in 2022) trimmed further and projected to fall below their opening levels, driven by notable drawdowns in Canada, the Russian Federation, and the US.

- **Maize*** 2021 production forecast to reach a new record following upward revisions in Brazil, India and several countries in Africa.
- Utilization in 2021/22 lifted on higher-than-earlier anticipated food, feed, and industrial use.
- Trade in 2021/22 (July/June) still pointing to a 1.9 percent contraction from the 2020/21 record level, in large part due to reduced import demand from China.
- Stocks (ending in 2022) raised on higher inventories in Brazil and the US, pushing up global stocks by 2.3 percent compared to the previous season.

- **Rice** production in 2021 downgraded, as less buoyant prospects namely for Indonesia outweighed upward revisions for Guinea, the Lao PDR and Venezuela.
- Utilization in 2021/22 lowered somewhat, as cuts to food use, primarily for Indonesia, were partly offset by upgrades to feed use expectations, namely for China.
- Trade in 2022 (January-December) raised further, reflecting less subdued import expectations for Asian countries, in particular China, Malaysia and Sri Lanka.
- Stocks (2021/22 carry-out) scaled up and seen surpassing their record opening levels by a small margin, as accumulations in the major exporters, chiefly India, Thailand and Viet Nam, compensate for drawdowns in a few importers, namely China and Indonesia.

- **Soybean** 2021/22 production forecast raised slightly m/m on an upward revision for the US, confirming a 5 percent y/y growth in global output.
- Utilization in 2021/22 adjusted marginally upward, driven by expectations of higher domestic crush mostly in China and Brazil.
- Trade in 2021/22 (October/September) revised up somewhat, mainly reflecting a higher import forecast for China.
- Stocks (2021/22 carry-out) lifted moderately, with upward revisions for the US and China outweighing a downward adjustment for Brazil; but global inventories would remain below average.

Wheat	FAO-AMIS			USDA		IGC	
	2020/21	2021/22		2020/21	2021/22	2020/21	2021/22
	est	f'cast		est	f'cast	est	f'cast
	7 Oct	4 Nov		12 Oct		21 Oct	
Prod	776.5	776.7	770.4	774.7	775.9	773.4	780.8
Supply	642.2	639.6	633.4	640.5	639.0	639.1	643.8
Utiliz.	1,055.6	1,063.5	1,059.0	1,069.5	1,064.2	1,049.0	1,059.5
Trade	794.7	796.1	791.5	785.3	783.2	785.7	795.4
Stocks	761.9	779.1	778.8	781.2	787.1	770.4	783.5
	621.0	636.3	636.1	631.2	638.1	624.5	637.0
	189.0	188.0	192.3	198.0	201.8	190.5	194.3
	178.2	178.5	182.8	187.4	191.8	179.6	183.7
	288.5	284.3	282.1	288.4	277.2	278.6	276.0
	158.2	150.4	148.2	144.2	136.2	150.3	147.7

Maize	FAO-AMIS			USDA		IGC	
	2020/21	2021/22		2020/21	2021/22	2020/21	2021/22
	est	f'cast		est	f'cast	est	f'cast
	7 Oct	4 Nov		12 Oct		21 Oct	
Prod	1,157.7	1,191.8	1,197.6	1,115.5	1,198.2	1,125.9	1,210.1
Supply	897.0	918.3	924.6	854.8	925.2	865.2	937.3
Utiliz.	1,456.6	1,477.1	1,482.8	1,421.6	1,488.2	1,423.9	1,486.3
Trade	1,047.7	1,050.0	1,056.2	960.4	1,011.0	971.4	1,019.6
Stocks	1,170.6	1,196.7	1,199.9	1,131.6	1,186.5	1,147.7	1,201.2
	886.3	903.3	906.5	846.6	892.5	859.8	905.0
	190.6	187.5	187.0	182.8	190.9	188.5	178.3
	162.0	163.5	163.0	154.8	164.9	159.2	161.8
	285.2	288.1	291.7	290.0	301.7	276.2	285.1
	131.5	131.4	135.5	85.8	92.6	82.3	98.1

Rice	FAO-AMIS			USDA		IGC	
	2020/21	2021/22		2020/21	2021/22	2020/21	2021/22
	est	f'cast		est	f'cast	est	f'cast
	7 Oct	4 Nov		12 Oct		21 Oct	
Prod	513.7	519.7	518.2	506.4	510.7	506.8	512.7
Supply	368.6	372.9	371.4	358.1	361.7	358.5	362.3
Utiliz.	699.4	705.4	705.3	688.2	695.9	685.4	691.8
Trade	450.1	456.0	456.3	423.4	430.4	426.8	434.7
Stocks	510.7	519.6	518.8	503.0	512.3	506.2	509.0
	361.5	369.8	368.5	352.4	357.2	353.1	358.6
	49.0	50.2	51.3	49.0	48.8	47.8	47.7
	45.0	47.0	47.5	45.0	44.8	44.0	44.3
	187.1	186.7	187.6	185.2	183.6	179.2	181.9
	84.9	86.6	87.5	68.7	71.6	69.8	72.8

Soybeans	FAO-AMIS			USDA		IGC	
	2020/21	2021/22		2020/21	2021/22	2020/21	2021/22
	est	f'cast		est	f'cast	est	f'cast
	7 Oct	4 Nov		12 Oct		21 Oct	
Prod	365.5	380.1	382.3	365.3	385.1	366.0	379.5
Supply	345.9	361.5	363.6	345.7	366.1	346.4	360.9
Utiliz.	420.3	429.4	432.0	460.7	484.3	418.1	436.2
Trade	381.3	388.3	389.8	414.4	431.6	368.1	384.8
Stocks	368.9	379.0	380.5	362.6	377.3	361.5	376.4
	254.0	258.4	259.3	251.0	259.6	248.1	257.4
	164.4	170.4	171.3	164.9	173.1	161.8	169.6
	64.7	69.4	69.3	65.9	72.1	65.6	69.4
	49.7	50.2	52.6	99.2	104.6	56.6	59.8
	26.2	28.7	29.8	65.4	68.7	23.8	27.2

i Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China. To review and compare data, by country and commodity, across three main sources, go to <https://app.amis-outlook.org/#/market-database/compare-sources>

Estimates and forecasts may differ across sources for many reasons, including different methodologies.

*The 2020/21 AMIS-FAO world maize production forecast includes southern hemisphere maize crops harvested in 2020 whereas IGC and USDA include southern hemisphere maize crops to be harvested in 2021 in their 2020/21 world production numbers.

For more information see Explanatory notes on the last page of this report.

Revisions (FAO-AMIS) to 2021/22 forecasts since the previous report

in thousand tonnes

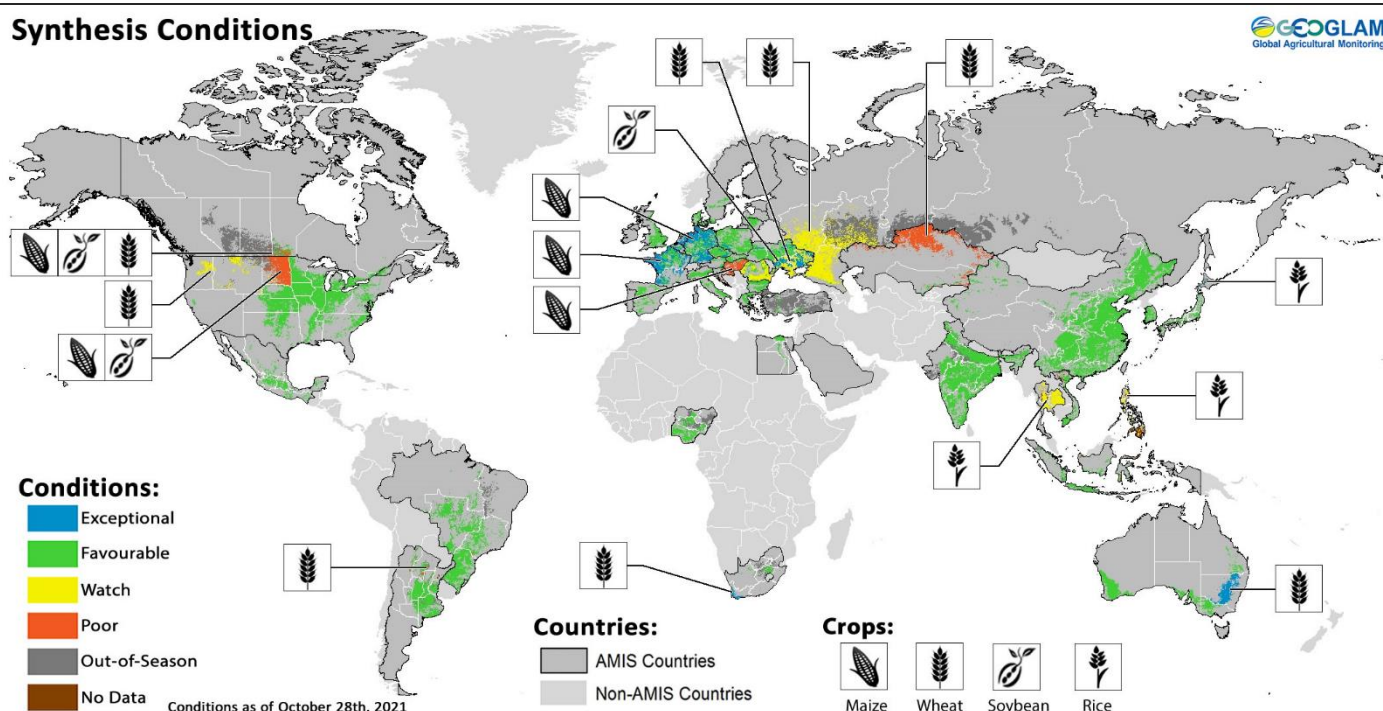
	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	-6215	4281	-246	4314	-2197	5803	-541	3230	-469	3572
Total AMIS	-2082	-460	-158	4092	-5122	3154	-1100	908	-889	3720
Argentina	-	-	-	-	-	-	-	-	-	-
Australia	-	-	-	1,000	-	-	-	-	-	-
Brazil	35	500	335	100	200	1249	200	1249	-2000	4000
Canada	-	-	-	-	-	-	-	-	60	-300
China Mainland	-	-	-	-50	-	-500	-	-	-	-503
Egypt	-	-	-100	-100	200	-	-500	-250	-	-250
EU	-1,182	-750	-593	1,000	-2500	-854	-	46	-	-900
India	1,442	1	-154	2,300	-500	1810	-	600	1200	353
Indonesia	-	200	200	-	100	-	100	-	-	-
Japan	5	-	5	-	-	-	-300	-	-	-
Kazakhstan	500	-200	-	-	238	150	-	-	-	142
Mexico	-	-	-100	-	500	-115	-	-115	-	1000
Nigeria	7	-	1,106	-449	-650	852	-200	301	-149	-1550
Philippines	-	-	-	-	300	-100	-200	-180	-	-100
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	-	-	-	-	-316	-	-	-	-	-
Saudi Arabia	-	-	-	-	-	-	-200	-200	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-	-	-	-	-	-	-	-	-
Turkey	-1,300	-	-	-500	-800	100	-	600	-	-500
Ukraine	-	-	-	800	-800	-	-	-	-	-
UK	-200	-	-200	-	-	-	-	-	-	-
US	-1,389	-100	-679	-	-943	562	-	-1143	-	2328
Viet Nam	-	-111	22	-9	-150	-	-	-	-	-

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	-1479	1157	-797	1095	865	2117	918	1486	837	2473
Total AMIS	-1726	570	-702	915	895	2117	813	1488	837	2473
Argentina	-	-	-	-	-	-	-	300	-200	500
Australia	-	-100	-	10	-	-	-	-	-	-
Brazil	5	90	40	150	150	-	-	555	150	-1103
Canada	-	-	-	-	-	-	-	-6	-	-100
China Mainland	-	600	510	-	-	-	1000	605	95	1300
Egypt	-	-	-	-	-	-	80	80	-	-
EU	-	-	-	-	-	-28	-	-28	-	-
India	-	-	-40	450	1200	-	-	-200	-	200
Indonesia	-1748	-	-1148	-	-500	-	-	-	-	-
Japan	-	-	-	-	-	-	-200	-135	-	92
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-10	20	-4	-	-	26	200	126	-	100
Nigeria	-	-	100	-	-	-	-	-	-	-
Philippines	-	-	33	-	-	-	-	-	-	-
Rep. of Korea	47	10	6	5	75	-	-	-	-	-
Russian Fed.	-20	-	-35	-	-	-	-	-	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-	-130	300	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	-	-	-	-	-	99	-	-67	192	-29
UK	-	-	-	-	-	-	-	-	-	-
US	-	-50	-34	-	-30	2020	-270	240	600	1510
Viet Nam	-	-	-	-	-	-	3	18	-	3

Crop monitor

Crop conditions in AMIS countries (as of 28 October)

Synthesis Conditions



Crop condition map synthesizing information for all four AMIS crops as of 28 October. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, sowing of winter wheat is ongoing with areas of concern in the Russian Federation, southern Ukraine, Romania, and the northwestern US. In the southern hemisphere, harvesting is beginning under generally favourable conditions.

Maize - Harvesting in the northern hemisphere is wrapping up while sowing in the southern hemisphere is speeding up.

Rice – Harvesting is ongoing in China and India. In Southeast Asia, heavy rains in Thailand and the Philippines have impacted wet-season rice conditions, while in Indonesia dry-season rice is harvesting and wet-season rice has begun sowing.

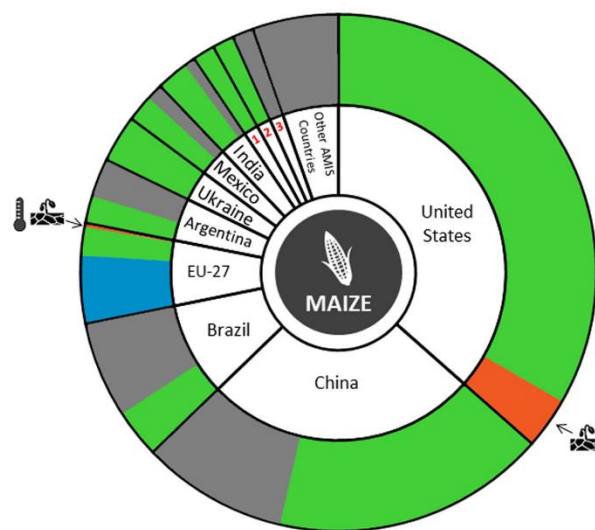
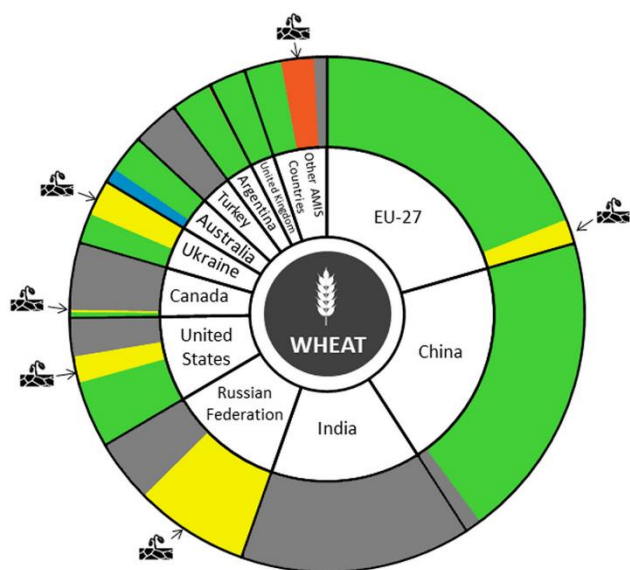
Soybeans - In the northern hemisphere, harvesting is wrapping up under generally favourable conditions. In the southern hemisphere, sowing is beginning in Brazil.

Climate Influences: La Niña Watch and Negative Indian Ocean Dipole

The El Niño-Southern Oscillation (ENSO) is currently in the La Niña phase with NOAA CPC/IRI issuing a La Niña Advisory in October. La Niña conditions are expected to continue during November to January (93 percent chance) and into April (63 percent chance for February-March-April). Climate forecasts also anticipate exceptionally warm west Pacific Ocean conditions, which can amplify the impact of cool eastern Pacific La Niña conditions.

La Niña conditions typically increase the chances of below-average precipitation in East Africa, Central and South Asia, southern South America, the southern US, northern Mexico, and eastern East Asia. There are elevated risks of a two-year sequence of dry conditions in these regions, associated with La Niña conditions last year and this year. La Niña conditions typically increase the chances of above-average precipitation in parts of Southeast Asia, Australia, Southern Africa, and northern South America.

The Indian Ocean Dipole (IOD) is in a negative state. Most models forecast a return to neutral by December. Negative IOD conditions typically increase the chances of above-average precipitation in Southeast Asia and Australia, and below-average precipitation in East Africa.

Conditions:**Drivers:**

Canada¹, Russian Federation², South Africa³

Wheat

In **Argentina**, harvesting is beginning under favourable conditions, except in the north due to prolonged dryness. In **Australia**, conditions are favourable to exceptional in most areas with harvesting beginning in the northern cropping regions. In the **EU**, sowing of winter wheat is ongoing under favourable conditions despite some delays due to excess rainfall in the central EU countries. In the **UK**, sowing is ongoing under favourable conditions. In **Ukraine**, conditions are mixed with soil moisture deficits in the southern and eastern regions potentially affecting crop establishment. In the **Russian Federation**, concerns remain for winter wheat establishing as dry conditions persist, potentially reducing total sown area. In **China**, sowing of winter wheat continues under favourable conditions. In the **US**, the majority of the winter wheat crop has emerged under mixed conditions due to long-term dryness in the northern and northwest growing regions. In **Canada**, winter wheat is under favourable conditions in the main producing province of Ontario, while drought continues in the Prairies.

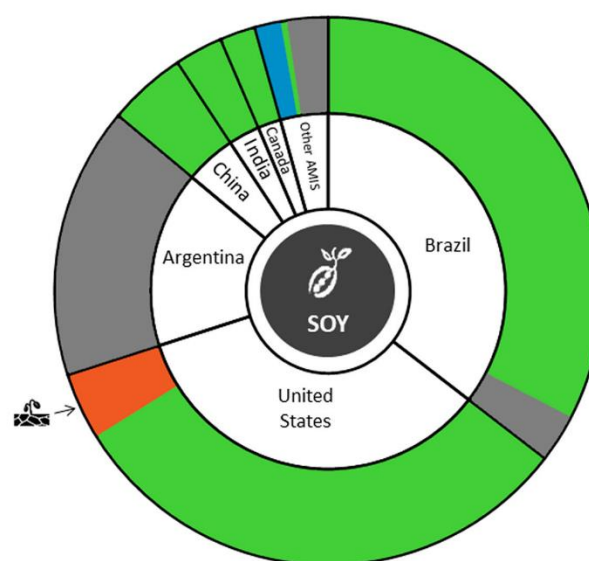
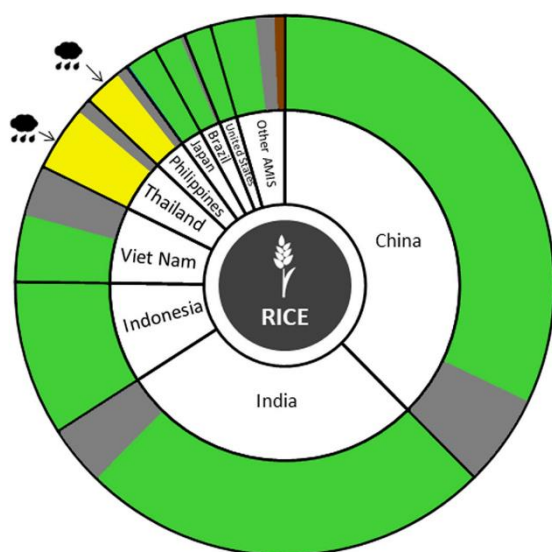
Maize

In the **US**, harvesting continues under generally favourable conditions except in the Dakotas where persistent dryness has reduced yields. However, an increase in sown area has offset yield losses. In **Canada**, harvesting is continuing under favourable conditions in Ontario and Quebec, while under poor conditions in Manitoba. In **Mexico**, harvesting of the spring-summer crop is ongoing under favourable conditions. In the **EU**, harvesting is wrapping up under mostly favourable to exceptional conditions despite a delay in the central EU countries due to excess rainfall. In **Ukraine**, harvesting continues under favourable conditions. In the **Russian Federation**, conditions are favourable as harvest wraps up. In **China**, harvesting of the summer-planted crop is wrapping up under favourable conditions. In **India**, harvesting of Kharif season crops is ongoing under favourable conditions. In **Brazil**, sowing of the spring-planted crop (smaller season) is beginning under favourable conditions. In **Argentina**, conditions are favourable as the sowing of the early-planted (larger season) progresses.



Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (95 percent of production) shown individually and the remaining 5 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **China**, conditions are favourable as harvesting of the single-cropping rice is wrapping up while the harvesting of the late-season crop continues. In **India**, harvesting of Kharif season crops is underway in the central and northern states under favourable conditions with an increase in sown area compared to last year. In **Indonesia**, harvesting of dry-season rice is continuing under favourable conditions with yields slightly higher than the previous year. Sowing of wet-season rice is beginning under favourable conditions, albeit slightly behind last year's pace. In northern **Viet Nam**, wet-season rice is beginning to harvest in some provinces under favourable conditions. In the South, harvesting of summer-autumn (main wet-season) rice is wrapping up with yields slightly higher than the previous year. Autumn-winter (wet-season) rice is entering the harvesting stage also with increased yields expected compared to the previous year. In **Thailand**, wet-season rice is in the grain filling stage under mixed conditions as a result of excess rainfall and widespread flooding from tropical cyclone Dianmu. In the **Philippines**, wet-season rice sown in July and August is under mixed conditions due to moderate to heavy rainfall from an enhanced Southwest monsoon. In **Japan**, harvest is wrapping up under generally favourable conditions with above-average yields in Hokkaido. In the **US**, harvesting is wrapping up under favourable conditions. In **Brazil**, sowing is ongoing under favourable conditions.

Soybeans

In the **US**, harvesting is wrapping up under generally favourable conditions except in the Dakotas where persistent dryness has reduced yields. However, an increase in sown area compared to last year has offset yields. In **Canada**, harvesting continues with favourable conditions in the main producing province of Ontario, while yields are reduced in the Prairies due to drought during the growing season. In **China**, conditions are favourable as harvesting wraps up. In **India**, harvesting is wrapping up under favourable conditions. Sown area is similar to last year's area and above-average. In **Ukraine**, harvesting is wrapping up under exceptional conditions with above-average yields. In **Brazil**, sowing has begun in the main producing regions under favourable conditions.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 4 November 2021

Policy developments

Wheat

- On 14 October 2021, the National Development and Reform Commission of **China** increased the minimum support price for wheat by 1.8 percent to CNY 2300 (USD 357) per tonne for 2022.
- On 20 October, **Ukraine** increased the wheat export quota for 2021/22 from 17.5 million tonnes to 25.3 million tonnes due to larger than expected grain harvests.

Maize

- On 20 October, the agriculture minister of **Mexico** announced that Mexico will not limit imports of genetically modified (GMO) maize from the US. The cultivation of GMO maize in Mexico is not allowed.
- On 12 October, the government of **Argentina** announced that it will prioritize the international sale of last season's harvested maize before approving exports of next season's crops. Estimates indicate that 70 percent of next season's crop of maize has already been sold.

Soybeans

- On 10 October, **India** imposed limits on private storage of edible oils and oilseeds in a bid to contain rising domestic prices, effective until 31 March 2022. The stock limits will be set by the respective states based on local market conditions.
- Effective 14 October, **India** reduced the basic import tax on crude palm, soy and sunflower oil from 2.5 percent to zero,

while the Agri Infrastructure Development Cess (AIDC) was reduced by 12.5 percentage points for crude palm oil and by 15 percentage points for crude soy and sunflower oil. As for refined vegetable oils, the base tax was slashed by 15 percentage points. After the cuts, crude palm oil and crude soy and sunflower oil were subject to an overall ad valorem tariff of, respectively, 8.25 percent and 5.5 percent, while refined vegetable oils attracted a tariff of 19.25 percent, applicable until 31 March 2022.

Across the board

- On 12 October, the **Indian** Union Cabinet approved an additional subsidy of INR 286 billion (USD 3.8 billion) for the kharif season (1 October 2021 - 31 March 2022) to assist farmers in the face of rising prices of di-ammonium phosphate (DAP) and nitrogen, phosphorus and potassium (NPK) fertilizers.

Stop Press

- On 30 September, the **Brazilian** government suspended until the end of the year the collection of PIS (Program of Social Integration) and Cofins (Contribution for the Financing of Social Security) taxes on maize imports. The suspension aims at lowering price pressure by increasing supply through purchases of maize outside the Mercosur (Provisional Measure No. 1,071 published on 23 September).



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

Only AMIS participants are marked in **bold**.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Oct 2021 Average*	Change M/M	Y/Y
GOI	280	+ 0.3 %	+ 20.2 %
Wheat	289	+ 5.0 %	+ 38.3 %
Maize	276	+ 1.3 %	+ 20.6 %
Rice	168	+ 0.8 %	- 9.2 %
Soybeans	264	- 4.2 %	+ 13.6 %

*Jan 2000=100, derived from daily export quotations

Wheat

Strong importer buying and a tight outlook for supply and demand in the major exporters continued to support world wheat export prices during October. Disappointing spring wheat harvests in North America and below-average quality in Europe kept the focus on limited availabilities of the best quality milling wheats, with these grades leading overall price advances. Uncertainty about the outlook for Russia's exports contributed to bullish price sentiment, as increases in formula-based export taxes were seen containing exports, but there was also speculation about wheat-specific volume limits on exports in the second half to the season. Although EU exports continued to make strong progress, the lower than normal quality harvest was seen potentially constraining shipments later in the marketing year.

Maize

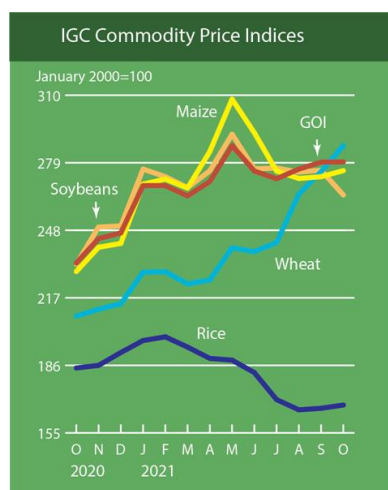
On average, maize export prices firmed in October, but with mixed trends across the leading origins. The steepest gains were in Ukraine, where traders sought supplies to cover sizeable export commitments amid sustained harvest delays. Quotations in Argentina rose on recent brisk export activity, as well as concerns about sub-optimal planting weather and high fertiliser costs. While Brazilian markets were also higher, trading activity was limited amid dwindling spot exportable availabilities. In contrast, US fob values were pressured by a seasonal increase in supplies and improving Gulf port logistics following earlier hurricane-induced disruptions.

Rice

Despite generally subdued demand amid elevated freight rates and as buyers awaited new crop arrivals at key Asian exporters, average international rice prices were mildly firmer m/m. In Thailand, some support stemmed from concerns that main crop harvesting would be delayed by flooding in key growing areas, while Vietnamese quotes were higher on strong local demand and increased activity following the relaxation of COVID-19 linked movement restrictions. In contrast, Indian offers were slightly softer amid a weaker local currency and outlooks for another record crop, while quotes in Pakistan were mildly pressured by new crop harvesting.

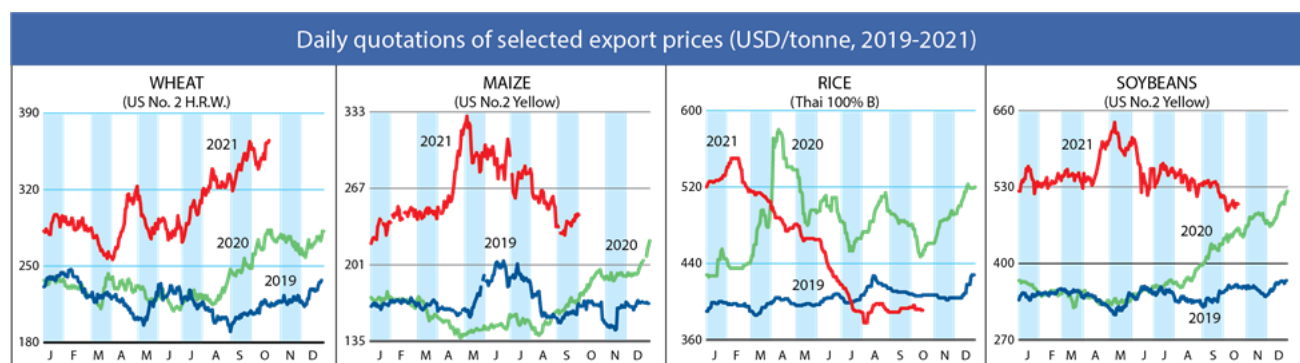
Soybeans

Reflecting steep declines in the US and Brazil, average world soyabean values retreated during October. Seasonal harvest pressure weighed, with field reports pointing to better than anticipated US yields. Although improving logistics at Gulf ports and news of fresh sales allayed fears of a further near-term shift in buying interest to South American origins, background worries about global demand remained a negative influence, highlighted by a sizable y/y contraction in cumulative US export commitments. However, strength in soya oil values and external markets was supportive at times. In Brazil, fob quotations were pressured by rapid 2021/22 seeding progress in core states, coupled with a softer domestic currency.



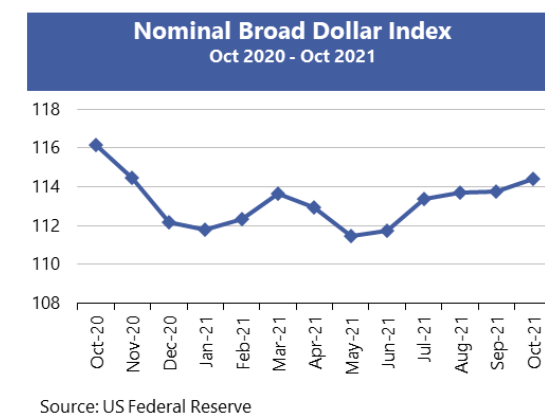
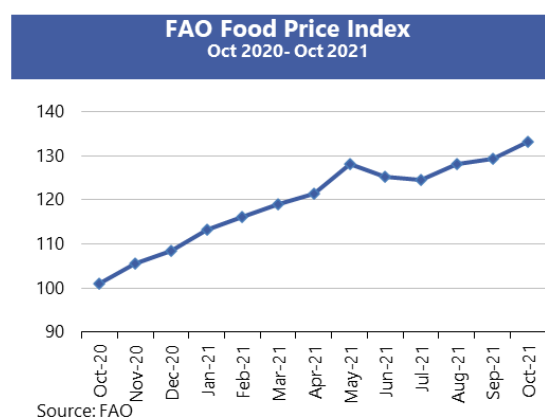
		IGC commodity price indices				
		GOI	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2020	October	233.0	208.6	229.1	184.8	232.5
	November	244.2	211.8	240.2	186.0	249.5
	December	246.8	214.3	242.0	191.9	250.0
2021	January	268.5	228.8	269.2	197.4	276.1
	February	268.5	229.0	271.5	199.1	272.6
	March	263.8	223.4	267.4	194.4	267.6
	April	270.4	225.2	284.2	189.2	275.3
	May	286.9	240.0	308.2	188.4	292.1
	June	275.2	238.2	292.8	182.7	276.2
	July	271.7	242.4	275.2	170.3	276.6
	August	276.1	264.6	271.8	165.6	274.7
	September	279.3	274.9	272.6	166.3	275.6
	October	280.0	288.6	276.3	167.7	264.1

Selected export prices, currencies, and indices



Daily quotations of selected export prices						
	Effective Date	Quotation (1)	Month ago (2)	Year ago (3)	% change (1) over (2)	% change (1) over (3)
..... USD/tonne						
Wheat (US No. 2, HRW)	29-Oct	366	357	272	2.5%	34.6%
Maize (US No. 2, Yellow)	29-Oct	248	244	190	1.5%	30.0%
Rice (Thai 100% B)	29-Oct	390	393	461	-0.8%	-15.4%
Soybeans (US No.2, Yellow)	29-Oct	500	522	449	-4.2%	11.4%

AMIS Countries' Currencies Against US Dollar				
AMIS Countries	Currency	Oct 2021 Average	Monthly Change	Annual Change
Argentina	ARS	98.2	-0.9%	-21.8%
Australia	AUD	1.4	1.2%	3.9%
Brazil	BRL	5.3	-4.6%	1.8%
Canada	CAD	1.3	1.9%	6.2%
China	CNY	6.5	0.6%	4.8%
Egypt	EGP	15.7	0.0%	-0.1%
EU	EUR	0.8	-1.4%	-1.4%
India	INR	73.6	-1.8%	-1.9%
Indonesia	IDR	14,249.5	0.5%	3.6%
Japan	JPY	110.2	-2.6%	-7.0%
Kazakhstan	KZT	425.6	0.0%	0.9%
Rep. Korea	KRW	1,172.8	-0.8%	-3.2%
Mexico	MXN	20.0	-1.9%	4.1%
Nigeria	NGN	410.7	0.2%	-7.1%
Philippines	PHP	50.2	-1.0%	-4.4%
Russian Fed.	RUB	72.8	2.3%	8.8%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	14.6	-1.7%	10.9%
Thailand	THB	33.1	-1.1%	-6.6%
Turkey	TRY	8.6	-6.9%	-13.5%
UK	GBP	0.7	-0.3%	5.5%
Ukraine	UAH	26.7	1.3%	7.6%
Viet Nam	VND	22,759.6	0.0%	1.9%



Futures market (US)

Futures Prices – nearby in USD per tonne

	Oct-21	Change	
	Average	M/M	Y/Y
Wheat	274	5.9%	23.0%
Maize	211	3.5%	34.5%
Rice	302	1.2%	10.1%
Soybeans	451	-3.9%	16.4%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Oct-21	Sep-21	Oct-20
Wheat	25.1%	25.3%	29.1%
Maize	25.7%	26.9%	21.7%
Rice	12.7%	12.1%	19.1%
Soybeans	17.3%	25.2%	21.1%

Future prices

Futures prices for wheat and maize rose while soybeans declined m/m as revisions to 2021/22 balance sheets for the three commodities continued into the fall harvest season. Tightening wheat supplies, especially in major exporting countries, drove wheat prices higher, causing them to surge against maize from a discount to USD 60 premium in 4 months. Other classes of wheat in the US, notably hard red spring and hard red winter, soared above the Chicago-based soft red wheat class and reached multi-year highs. Soybean prices were weighed by a sharp drop in exports even as the edible oil market spiked due to increasing global demand for biodiesel. Rice futures rose negligibly m/m. In exogenous markets, the US dollar index topped .94, remaining firm for the month along with US crude oil prices. The WTI contract breached USD 88 per barrel before correcting somewhat, underscoring the continued concerns about price inflation. Prices for wheat, maize, soybeans and rice remained considerably higher y/y by 23, 34.5, 16.4 and 10.1 percent, respectively.

Volumes and volatility

After slumping in September to one-year lows, wheat and maize volumes were unchanged while soybeans showed a significant increase m/m. Volumes for all three, however, were lower than last year. Volatility measures showed mixed changes, with implied volatility declining for all three commodities m/m and y/y. Historical volatility was unchanged for wheat and maize m/m but lower for soybeans, while on a y/y basis, HV was higher for maize, but lower for wheat and soybeans. Overall, volatility has receded from its multi-year high levels registered in June and July, returning to more normalized levels.

Basis levels and transport

US domestic basis levels for maize, soybeans and wheat, continued weak as the fall harvest was over half completed. In Illinois, maize bids were steady at minus

USD 11 per tonne under the December futures while soybeans improved slightly to minus USD 13 per tonne under the November futures. In Iowa maize bids were steady at minus USD 8 for maize and minus USD 18 for soybeans under the respective futures. Soft red wheat bids remained weak domestically. Gulf delivery bids were quoted at USD 25 and USD 28 per tonne for maize and soybeans over respective December and November futures. Soft red wheat values delivered gulf were unquoted. Barge freight on Illinois River, which had soared above 700 percent of tariff rate to USD 36 per tonne last month, was lower at USD 31 per tonne, but remained above its three-year average. Regarding exports, according to a report by the US Department of Transportation, from third quarter 2020 to third quarter 2021 (y/y), inspections of wheat, maize, and soybeans fell 29 percent, to 23.2 million tonnes. Down 24 percent from the 5-year average, this volume was the lowest since third quarter 2015.

Forward curves

The forward curves for wheat, maize and soybeans displayed only minor changes m/m as they continued to exhibit contango and backwardation on a one-year projection. The configurations for all three commodities indicate that supplies, although adequate near term, will begin to tighten during May or July.

Investment flows

Managed money continued a pattern in wheat of small swings between long and short positions, effectively taking a neutral stance since the start of the calendar year. It maintained its substantial net long position in maize, while cutting its net long in soybeans to almost neutral. Commercials, while still maintaining large net shorts in all three commodities, reduced their net short in soybeans, absorbing, along with swaps dealers, much of the managed money long liquidation.

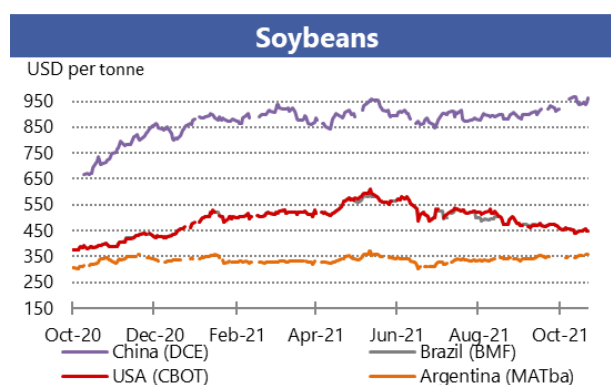
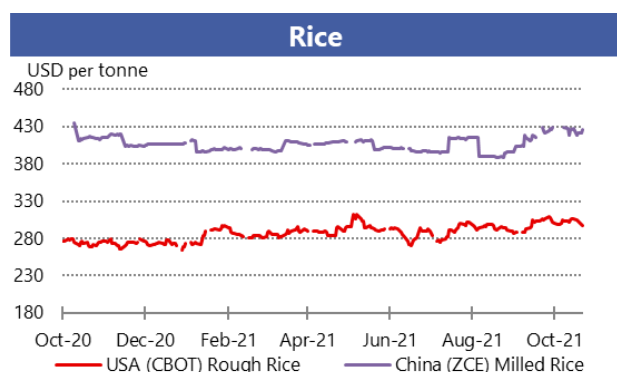
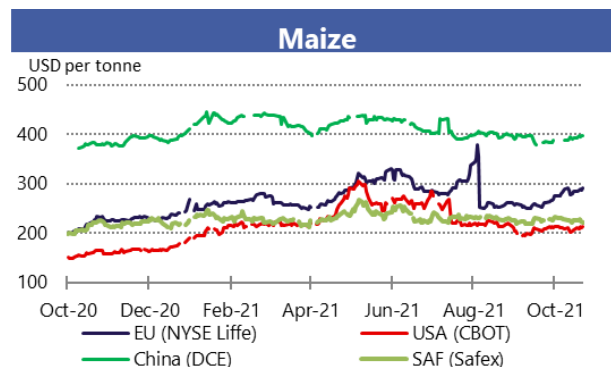
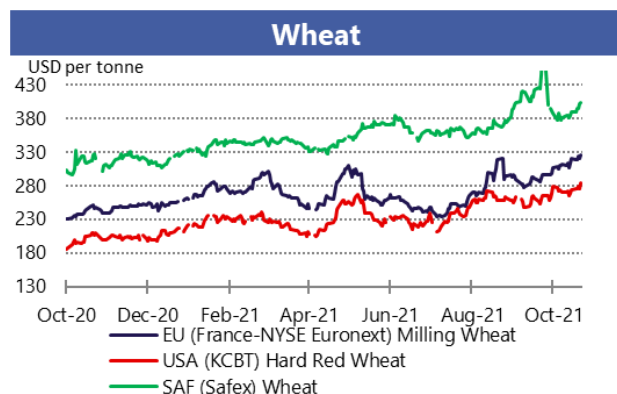


For information on technical terms please view the Glossary at the following link:

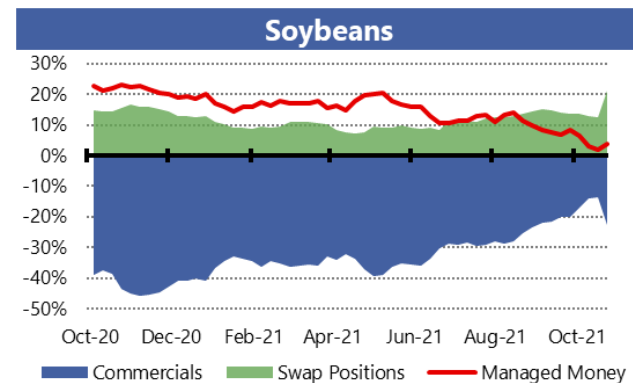
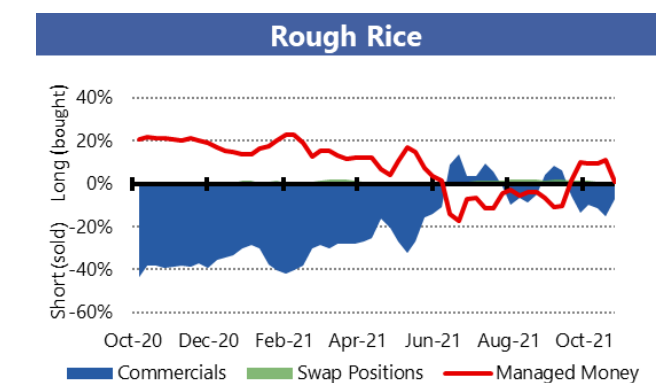
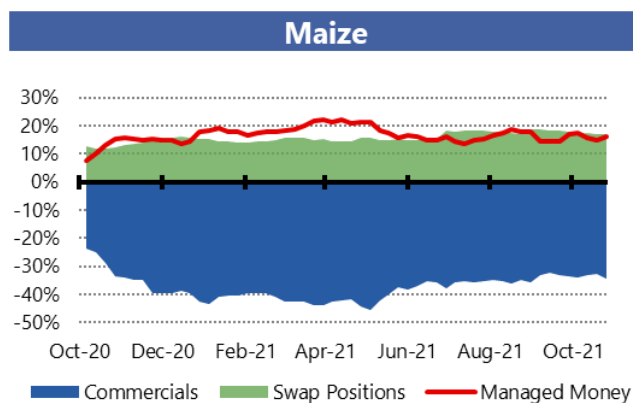
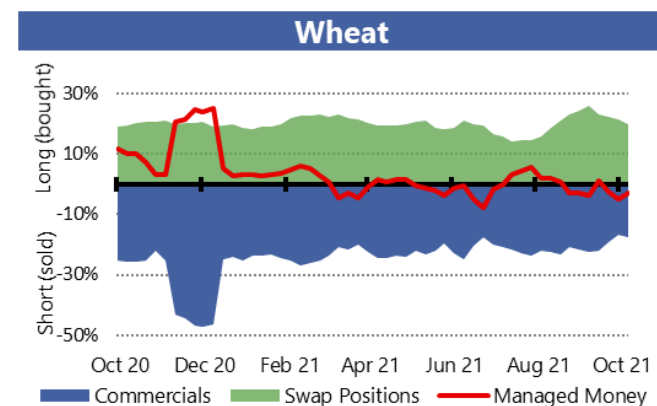
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Market indicators

Daily quotations from leading exchanges - nearby futures

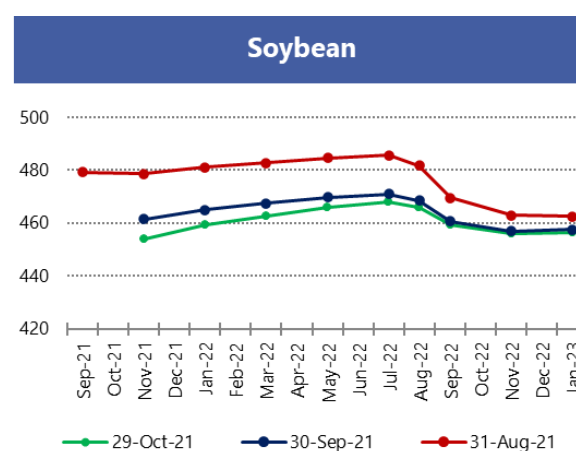
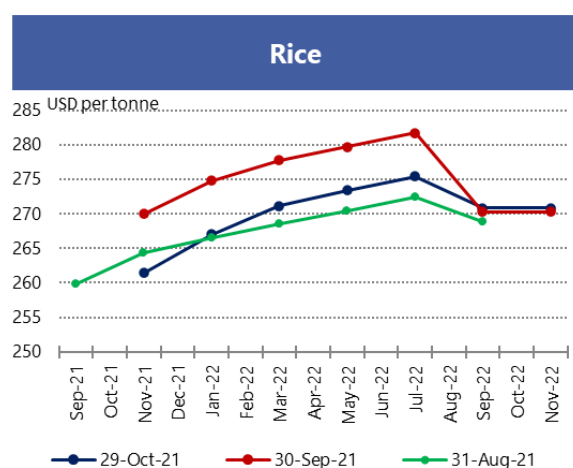
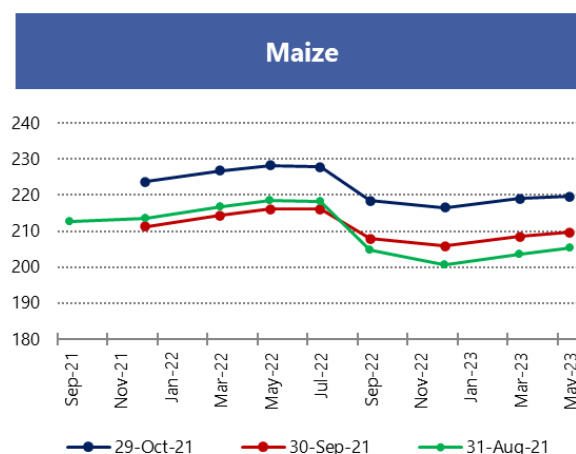
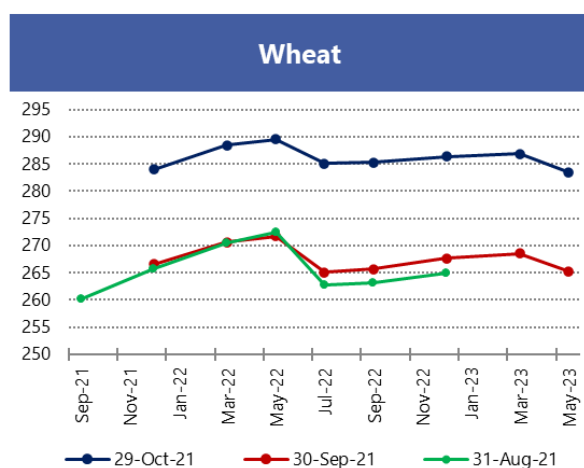


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

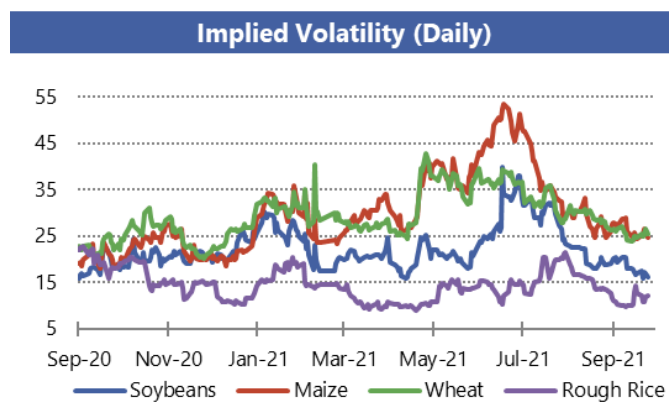
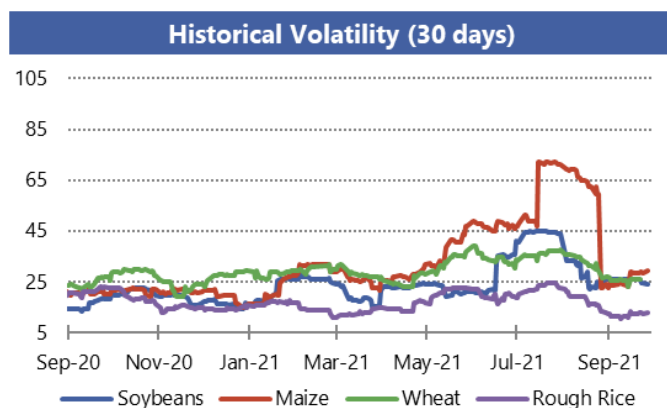


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



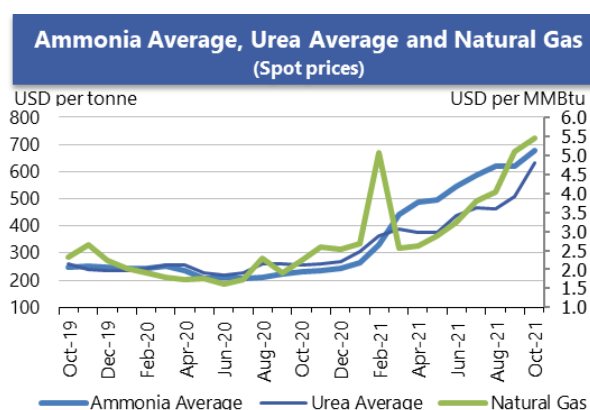
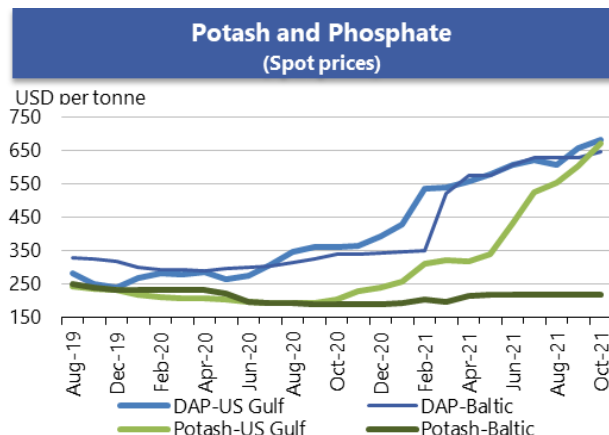
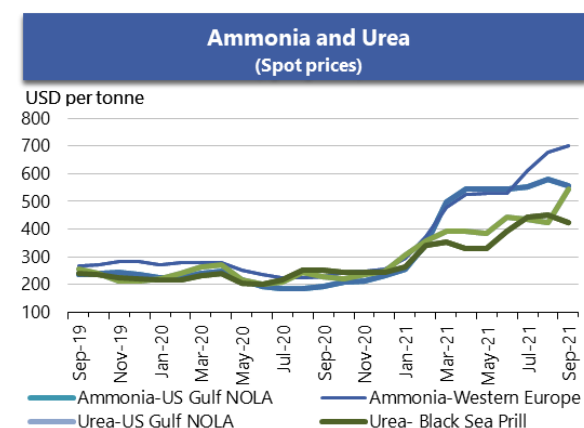
Historical and Implied Volatilities


 AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

*For more information about Forward Curves see the feature article in [No. 75 February AMIS Market Monitor 2020](#).

Fertilizer outlook



Note: Natural gas is used as major input to produce nitrogen-based fertilizers.
Own elaboration based on Bloomberg.

Fertilizer prices increased sharply in October across most regions, driven mainly by high natural gas prices and associated supply constraints.

- **Natural gas** prices continued their upward trend due to high demand, supply restrictions, and shortages of other energy sources.
- **Ammonia** prices increased due to rising natural gas prices, which paused production at many plants across Europe.
- **Urea** prices significantly increased across most regions (except the Black Sea) due to high gas prices and increased demand from India.
- **DAP** prices increased as previous production disruptions stemming from Hurricane Ida continued to impact supply in the US, combined with a general slowdown in product movement and China's restriction of phosphate exports.
- **Potash** prices continued to increase in the US due to ongoing supply disruptions.

	October average	October std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	603.0	-	8.1%	188.0%	585	192
Ammonia-Western Europe	787.5	-	12.5%	222.2%	678	230
Urea-US Gulf	690.0	7.0	26.3%	213.6%	445.0	220.0
Urea-Black Sea	415.0	2.9	-2.1%	69.4%	451.7	245.0
DAP-US Gulf	682.5	5.8	4.0%	89.6%	622.0	360
DAP-Baltic	647.5	-	2.8%	90.4%	630	327
Potash-Baltic	220.0	-	0.0%	15.8%	220.0	190
Potash- US Gulf NOLA	670.0	5.8	11.0%	228.8%	546.7	194
Ammonia	676.7	-	9.2%	190.6%	620.8	222.3
Urea	634.0	2.1	24.7%	149.2%	468.5	254
Natural Gas	5.4	0.1	6.5%	142.3%	5.1	1.9

All prices shown are in US dollars.

Source: Own elaboration based on Bloomberg



Chart and tables description * Estimated using available weekly data to date.

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers

DAP: Diammonium Phosphate.

Ocean freight markets

Dry bulk freight market developments

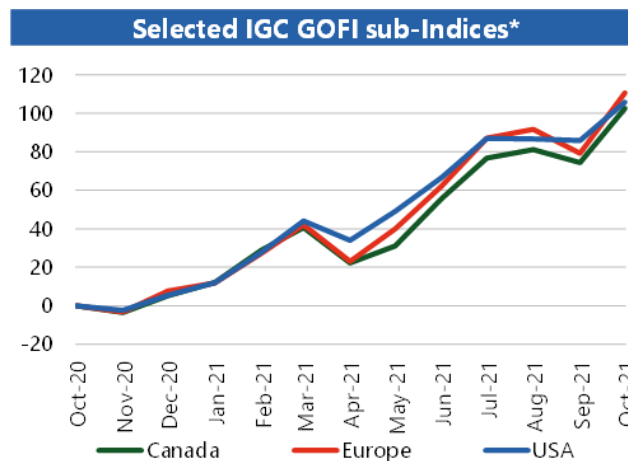
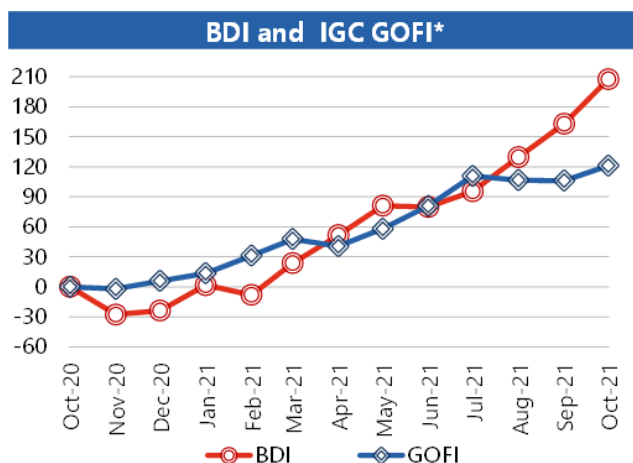
	October-21 average	Change m/m	Change y/y
Baltic Dry Index (BDI)*	5014.6	+17.0%	+207.5%
<i>sub-Indices:</i>			
Capesize	8335.1	+27.3%	+192.5%
Panamax	4057.6	+6.9%	+201.6%
Supramax	3496.8	+5.8%	+258.2%
Baltic Handysize Index (BHSI)**	2021.7	+8.2%	+239.4%

Sources: Baltic Exchange, IGC.

*4 January 1985 = 1000. **23 May 2006 = 1000.

***1 January 2013 = 100.

	October-21 average	Change m/m	Change y/y
IGC Grains and Oilseeds Freight Index (GOFI)***	256.3	+7.3%	+121.1%
<i>sub-Indices:</i>			
Argentina	309.8	+3.5%	+119.6%
Australia	192.1	+8.0%	+159.4%
Brazil	333.3	+3.7%	+123.7%
Black Sea	288.3	+8.8%	+134.8%
Canada	198.8	+16.1%	+102.6%
Europe	220.2	+17.5%	+110.6%
US	201.8	+10.7%	+105.8%



*percentage change based on monthly average values

- Average vessel earnings across the grains and oilseeds carrying segments posted moderate net gains during the past month on robust demand for dry bulk commodities, notably coal, as well as improving US Gulf operations and delays at Chinese ports. Notable interest from the container sector provided additional support. Despite the recent downturn in the Capesize market, the **Baltic Dry Index (BDI)** averaged 17 percent higher month-on-month, with values at their highest in 13 years.
- Highlighting supportive supply-side prospects, there were expectations that annual growth in the global dry bulk fleet in 2022 would fall short of this year's expected 3.5 percent, due to potentially lower new-build deliveries and higher vessel demolition rates.
- The **Baltic Capesize** sub-Index climbed to a more than 13-year high in early-October on backlogs at Chinese ports and brisk coal trading. However, the market fell sharply since then amid reports of declining iron ore volumes from Brazil and seemingly easing

congestion off China. The market also featured speculation about an impending downturn in Chinese imports of heavy raw materials amid potentially slower economic growth.

- Alongside accelerating activity at the US Gulf, the **Panamax** market drew support from fresh inquiries in the Black Sea area and ongoing business out of Australia, Indonesia and the northern Pacific.
- Apart from strong sentiment at the US Gulf, **Supramax** and **Handysize** sectors witnessed rising rates for long-haul trips out of the Black Sea region and Europe. However, a softer tone in the Mediterranean and a recent build-up of tonnage in Asia limited overall upside in average values.
- The **IGC Grains and Oilseeds Freight Index (GOFI)**, which reflects movements in nominal voyage costs on major selected routes, was up by 7 percent month-on-month on average, led by increases in timecharter and fuel costs in Europe and North America.



Source: International Grains Council

Baltic Dry Index (BDI): A benchmark indicator issued daily by the Baltic Exchange, providing assessed costs of moving raw materials on ocean going vessels. Comprises sub-Indices for three segments: Capesize, Panamax and Supramax. The Baltic Handysize Index excluded from the BDI from 1 March 2018.

IGC Grains and Oilseeds Freight Index (GOFI): A trade-weighted composite measure of ocean freight costs for grains and oilseeds, issued daily by the International Grains Council. Includes sub-Indices for seven main origins (Argentina, Australia, Brazil, Black Sea, Canada, the EU and the USA). Constructed based on nominal HSS (heavy grains, soybeans, sorghum) voyage rates on selected major routes.

Capesize: Vessels with deadweight tonnage (DWT) above 80,000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Carriers with capacity of 60,000-80,000 DWT, mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Ships with capacity below 60,000 DWT, accounting for the majority of the world's ocean-going vessels and able to transport a wide variety of cargoes, including grains and oilseeds.

Explanatory notes

The notions of **tightening** and **easing** used in the summary table of “Markets at a glance” reflect judgmental views that take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts are based on the latest data published by FAO, IGC and USDA. For the former, they also take into account information provided by AMIS focal points (hence the notion “FAO-AMIS”). World estimates and forecasts produced by the three sources may vary due to several reasons, such as varying release dates and different methodologies used in constructing commodity balances. Specifically:

Production: Wheat production data from all three sources refer to production occurring in the first year of the marketing season shown (e.g. crops harvested in 2016 are allocated to the 2016/17 marketing season). Maize and rice production data for FAO-AMIS refer to crops harvested during the first year of the marketing season (e.g. 2016 for the 2016/17 marketing season) in both the northern and southern hemisphere. Rice production data for FAO-AMIS also include northern hemisphere production from secondary crops harvested in the second year of the marketing season (e.g. 2017 for the 2016/17 marketing season). By contrast, rice and maize data for USDA and IGC encompass production in the northern hemisphere occurring during the first year of the season (e.g. 2016 for the 2016/17 marketing season), as well as crops harvested in the southern hemisphere during the second year of the season (e.g. 2017 for the 2016/17 marketing season). For soybeans, the latter approach is used by all three sources.

Supply: Defined as production plus opening stocks by all three sources.

Utilization: For all three sources, wheat, maize and rice utilization includes food, feed and other uses (namely, seeds, industrial uses and post-harvest losses). For soybeans, it comprises crush, food and other uses. However, for all AMIS commodities, the use categories may be grouped differently across sources and may also include residual values.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June basis, except for USDA maize trade estimates, which are reported on an October/September basis. Wheat trade data from all three sources includes wheat flour in wheat grain equivalent, while the USDA also considers wheat products. For rice, trade covers shipments from January to December of the second year of the respective marketing season. For soybeans, trade is reported on an October/September basis by FAO-AMIS and the IGC, while USDA data are based on local marketing years except for Argentina and Brazil which are reported on an October/September basis. Trade between European Union member states is excluded.

Stocks: In general, world stocks of AMIS crops refer to the sum of carry-overs at the close of each country's national marketing year. For soybeans, stock levels reported by the USDA are based on local marketing years, except for Argentina and Brazil, which are adjusted to October/September. For maize and rice, global estimates may vary across sources because of differences in the allocation of production in southern hemisphere countries.

For more information on AMIS Supply and Demand, please view [AMIS Supply and Demand Balances Manual](#).

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, OECD, Reuters, USDA, US Federal Reserve, WTO

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2021 AMIS Market Monitor Release Dates

February 4, March 4, April 8, May 6, June 3, July 8, September 2, October 7, November 4, December 2